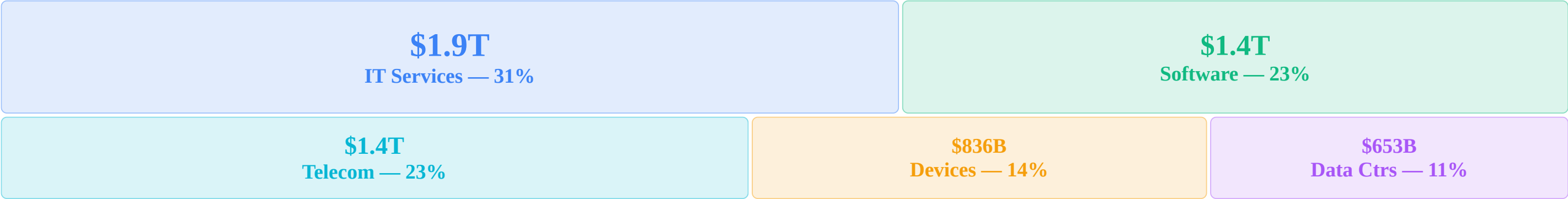


WHY NOW

The \$6.15 Trillion Question

Gartner Feb 2026 · Deloitte · MIT Sloan · CNBC

\$6.15T Global IT Spending Breakdown



Record Spending, Declining Returns

Gartner's February 2026 forecast projects global IT spending at **\$6.15 trillion**, a 9.8% increase over 2025. This represents the largest technology investment in human history. Yet the return on each marginal dollar is collapsing. Enterprises are buying more tools, more platforms, and more infrastructure than ever before — but their ability to extract value is deteriorating year over year.

The core issue is fragmentation. The average large enterprise now operates **660 SaaS applications** across departments, with organizations above 10,000 employees averaging \$284 million in annual SaaS spend (Zylo 2025). Most of these tools were adopted bottom-up by individual teams with zero centralized procurement oversight. The predictable result: **53% of all software licenses sit completely unused**, a silent tax on every department budget.

Cloud waste compounds the problem at infrastructure level. **27% of \$450B+** in global cloud spend is pure waste — idle instances, over-provisioned VMs, forgotten resources from abandoned projects. That translates to roughly **\$17 million per year** per large organization, burned with zero return (Flexera 2025).

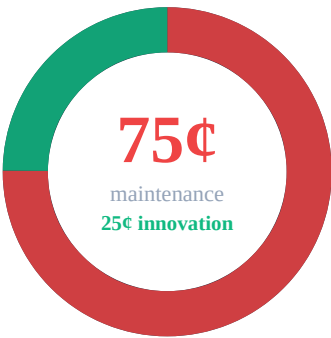
The AI Readiness Crisis

AI isn't failing because the models are bad — **72% of CIOs** confirm that fragmented infrastructure is the primary barrier to AI ROI (Gartner 2025). GPT-4, Claude, and Gemini all perform brilliantly in controlled settings. But enterprise deployment demands unified data pipelines, consistent APIs, comprehensive observability, and governance frameworks. None of this exists when your stack is 660 disconnected tools across 3 cloud providers.

The result is devastating: **95% of GenAI pilot programs** fail to deliver measurable business value (MIT Sloan Management Review, 2025). Not because the algorithms are flawed, but because the infrastructure substrate is fragmented beyond repair. AI needs a platform, not a patchwork.

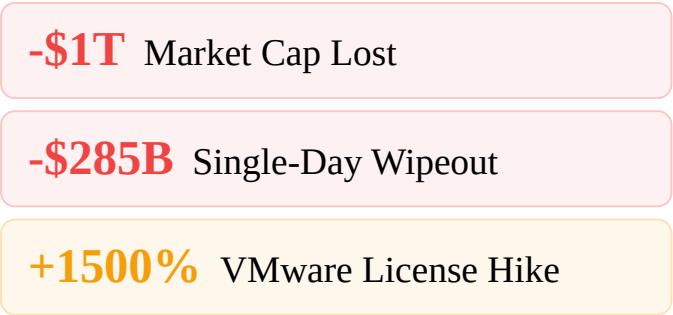
When organizations try to modernize their way out, they hit yet another wall: **94% of core modernization projects** exceed their timelines and budgets (IBM IBV). Complexity kills transformation before it starts. The enterprise software industry spent two decades optimizing for vendor lock-in rather than interoperability — and now the bill is coming due.

The 75-Cent Problem



For every dollar spent on IT, **75 cents** goes to keeping legacy alive. Only **25 cents** funds innovation. Engineers spend their days as plumbers, not architects.

Market Destruction — Q1 2026



Investors are punishing legacy vendors at historic levels. **\$1 trillion** in software market cap destroyed (CNBC). PM SaaS **-58%**, IT outsourcing **-42%**, CRM **-38%**, virtualization **-27%**. Hedge funds made **\$24 billion** shorting these vendors in just five weeks. Smart money is betting against the old guard — and winning.